

PPT-EZ-CA-0001

312 Spring Commons

PRIVATE OFFERING / PPM FRAMEWORK

Draft disclosure architecture for any future private investment security associated with the rehabilitation/operating vehicle

v0.2 • September 17, 2026

WORKING DRAFT / COUNSEL REVIEW / PROGRAMMED ASSUMPTIONS

This document is a working draft for discussion, diligence and counsel review. It does not constitute a final offering, binding subscription, legal opinion, tax opinion, governmental approval, guarantee of financing, guarantee of tax benefits, guarantee of title transfer, or guarantee of project performance. Programmed benchmarks are design objectives to be measured project by project, not achieved results or forecasts.

Document code: DOC-11

1. Purpose and Offering Status

This framework is intended to organize the information that would be required if a future issuer offers debt, equity, preferred interests, revenue-linked interests or another security to private capital in connection with 312 Spring Commons. It is not a final private placement memorandum and is not an offer to sell or solicitation to buy any security.

CRITICAL STRUCTURAL PRINCIPLE

Any future private security is intended to represent rights in a defined financing or operating vehicle, not fractional fee-title ownership of 312 N. Spring Street. Under the contemplated Historic Surplus structure, fee title would be held by a qualifying public grantee, subject to federal/public-use restrictions.

Project Status Legend

Item	Status	Meaning
312 N. Spring asset / federal disposition context	VERIFIED BASIS	Supported by the current project feasibility record; status remains subject to agency updates.
Historic Surplus pathway	DILIGENCE / TARGET PATH	Strongest apparent route in project research; current availability must be confirmed with GSA/NPS.
Public Grantee	TBD	City, County or qualifying public instrumentality has not yet been selected/approved.
People's Public Trust / PPT-EZ-CA-0001	PROJECT DESIGNATION	Proposed project/governance nomenclature; not an official California economic-zone designation.
~\$153M capital-maintenance reference	REFERENCE ONLY	GSA-reported capital-maintenance figure; not yet an independently validated rehabilitation budget.
\$200M-\$240M capitalization envelope	PROGRAMMED ASSUMPTION	Working planning range pending property, engineering and financing diligence.
TitleChain/M5 title-state process	PROPOSED IMPLEMENTATION	Parallel evidence/title-state record; official deed/registry remains legally authoritative.
Efficiency/cost targets	PROGRAMMED BENCHMARKS	Goals to test and rank project performance; not achieved results.

2. Proposed Offering Snapshot — All Terms TBD

Term	Working framework
Issuer	312 Spring Commons rehabilitation/operating financing vehicle — legal form and jurisdiction TBD by counsel.
Security	Debt, preferred equity, limited partnership/LLC interest, revenue-linked instrument or other structure — TBD.
Offering exemption	Federal/state private-offering exemption(s) to be selected by securities counsel; no exemption is assumed by this draft.
Target amount	A defined portion of the broader ~\$200M-\$240M working capitalization; exact private-capital slice TBD.
Minimum subscription	TBD.
Term / maturity	TBD based on instrument.

Term	Working framework
Return / yield / preference	TBD; no return is promised or modeled in this framework.
Collateral	No assumption of mortgage/foreclosure rights against the public fee title; any collateral/security package must be specifically authorized.
Use of proceeds	Approved project costs, reserves and related transaction expenses as set out in final sources-and-uses.
Liquidity	Expected to be illiquid and transfer-restricted unless final documents provide otherwise.
Investor eligibility	TBD by counsel and chosen exemption; questionnaire/KYC/AML required.

3. Transaction Structure

Layer	Proposed role	Private investor relationship
United States / GSA	Current federal owner / disposing agency context.	No investor ownership.
NPS / Historic Surplus	Program oversight for preservation/use where applicable.	Investor subject to project restrictions; no regulatory endorsement.
Public Grantee — TBD	Proposed fee-title holder and covenant steward.	No fractional title sold to investor.
People's Public Trust / PPT-EZ-CA-0001	Proposed commons/project-governance framework.	Not itself an investment security unless separately structured and disclosed.
Operator / Rehabilitation Vehicle — TBD	Long-term approved operating and rehabilitation rights.	Potential issuer/borrower or counterparty for private capital.
Tax-credit vehicles	HTC/NMTC structures if eligible/closed.	Separate negotiated economics and compliance regimes.
TitleChain / M5	Evidence, authority, title-state and benchmark telemetry layer.	Does not itself make the security valid, transfer land title or guarantee performance.

4. Property and Project

- Asset: 312 N. Spring Street, Los Angeles, California; federal building / U.S. Courthouse identified in the project feasibility record.
- Working project path: Historic Monument Public Benefit Conveyance through a qualifying public entity, subject to GSA/NPS confirmation and public approvals.
- Program concept: historic preservation plus compatible civic, workforce, food/resilience, small-business, cultural, public-service and revenue-generating uses subject to public-owner/NPS approvals.
- Capital reference: GSA-reported nearly \$153M capital-maintenance liability is a diligence reference only; final rehabilitation scope and budget remain to be independently established.
- Working capitalization envelope: approximately \$200M-\$240M, programmed for planning only and subject to diligence, design, procurement and financing.

5. Sources and Uses Framework

Potential source	Status / role
Philanthropic grants / PRI capital	Target source; terms, restrictions and donors TBD.
Public capital / grants / appropriations / bonds	Potential source; requires public authorization and program eligibility.

Potential source	Status / role
Federal Historic Tax Credit capital	Potential source only to extent QRE and transaction structure qualify.
NMTC capital	Potential source only if tract/business/CDE/allocation requirements are satisfied.
Private debt/equity	Potential offering addressed by this framework; amount/instrument TBD.
Tenant/operator capital	Potential tenant improvements, fit-out, deposits or operating capital.
Worker/community economic participation	Operational/co-op participation only as legally structured; not counted as cash financing unless independently valued and documented.

6. Use of Proceeds

- predevelopment, diligence, title/survey and public-conveyance work;
- historic-preservation design, architecture, engineering and project management;
- environmental remediation, structural/seismic, MEP, accessibility and life-safety work;
- construction and approved tenant improvements;
- insurance, bonding, financing expenses and reserves;
- operating/start-up capital where permitted;
- technology, audit, evidence and transaction-control infrastructure;
- other costs expressly approved in the final sources-and-uses.

No proceeds may be represented as purchasing fractional ownership of the public fee title unless the actual legal structure and public-conveyance documents expressly permit such ownership, which is not contemplated by the current project design.

7. Capital Calls, Escrow and Closing

- Subscriptions may be accepted conditionally and funded through one or more closings or capital calls.
- Project capital is intended to be segregated and released through the Capital Escrow & Draw Agreement and applicable financing documents.
- Conditions precedent may include public-grantee authorization, GSA/NPS pathway confirmation, title/survey review, environmental/engineering diligence, financing commitments, insurance and final legal/tax documentation.
- TitleChain/M5 may record evidence and conditions, but the regulated depository/escrow agent and authorized human signatories control actual monetary disbursement.

8. Investor Economics — TBD

The following economic terms must be supplied only after the instrument is selected and counsel/underwriters approve the structure:

- interest rate, preferred return or distribution priority;
- maturity, amortization or redemption;
- cash sweep or revenue-share mechanics;
- reserve requirements;
- fees and expenses;
- subordination/intercreditor terms;
- exit, refinancing, call/put or transfer provisions;
- loss allocation and capital-call obligations;
- tax allocations and reporting.

9. No Land-Title Security Representation

Unless expressly stated in executed public and financing documents, an investor should assume that its investment does not convey fee title, a deed interest, a right to force sale of the public asset, or a right to override federal historic/public-use restrictions. Any digital token or TitleChain representation associated with the project must reflect the legal instrument actually held and must not be marketed as the deed or as fractional land ownership unless legally accurate.

10. Governance, Information and Consent Rights — TBD

- financial and project reporting;
- budget/change-order consent thresholds;
- major-decision rights;
- conflict/related-party approval;
- replacement or removal rights;
- inspection/audit rights;
- default/remedy rights;
- advisory or observer rights;
- privacy and confidentiality limitations.

11. Digital Records and M5 Protocol

The project would like to transfer and reconcile title under the TitleChain/M5 protocol process in parallel with legally authoritative public recording. The proposed digital record would identify the asset, current legal titleholder, jurisdiction, deed/instrument reference, public restrictions, authorized parties and state transitions. A digital title-state token is intended to represent the verified state of the underlying legal record, not to replace the deed or create rights beyond the governing legal instrument.

Programmed Benchmark Objectives

These are baseline assumptions deliberately programmed as project performance goals. They are intended to be measured transaction by transaction, compared against actual outcomes and updated as the PPT portfolio grows. They are not historical results, guaranteed savings or investor-return projections.

Metric	Working baseline	Programmed target	Measurement
End-to-end transaction timeline	12-month legacy comparison	2-month target where legally/process-feasible	Days from defined start gate to defined closing/activation gate
Human coordination labor	14,000-hour working baseline	3,000-hour target	Time logs by role and workstream
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoices/payroll attributable to transaction coordination
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Actual third-party fees; legally required services remain
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Actual audit/compliance coordination cost
Holding/time-drag cost	\$8.25M baseline	\$1.375M target	Measured carrying cost over actual elapsed period
Total modeled friction	\$11.9475M baseline	\$2.434M target	Actual verified transaction overhead
Potential modeled reduction	\$9.5135M target delta	Target only	Difference only after comparable categories are verified
Cost of money	TBD comparable project rate	Lower all-in effective cost where risk/structure allow	Spread, fees, reserves, effective annualized cost
Third-party duplication	TBD baseline mapping	Minimize duplicated systems/context transfer	Vendor count, connectors, model calls, reconciliations

13. Risk Disclosure

Any final PPM should incorporate the Master Risk Factors & Disclosure Schedule (DOC-15) in full, together with offering-specific risks. Investors should be able to lose all invested capital. No benchmark, public-benefit purpose, tax incentive, title-state technology or government-conveyance pathway eliminates investment risk.

14. Conflicts and Related-Party Transactions

- Identify every sponsor, developer, operator, technology provider, adviser and affiliate receiving compensation or contractual rights.
- Disclose sponsor/developer/technology fees, reimbursement rights, ownership interests and procurement relationships.
- Require documented approval mechanisms for related-party transactions and benchmarking against market terms where appropriate.

15. Offering Process and Required Investor Documents

Document	Purpose
Final PPM / disclosure memorandum	Complete offering terms, project disclosures and risk factors.
Subscription Agreement + Investor Questionnaire	Investor representations, eligibility, commitment and admission.
Issuer governing agreement	LLC/LP/trust indenture or loan documents establishing actual rights.
Escrow/depository instructions	Funding and release mechanics.
Tax forms / KYC / AML	Investor onboarding and regulatory compliance.
Side letter, if any	Investor-specific rights approved by issuer/counsel.

16. Counsel / Status Note

Project representation: the Conditional Capital Commitment Letter (DOC-02) has been reviewed by project counsel and approved for draft circulation. This PPM framework and the remaining draft documents require separate counsel review and do not inherit that approval automatically.

Selected Source Basis and Diligence Notes

- 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026: project status, accelerated-disposition context, public-grantee structure, diligence list, occupancy and ~\$153M capital-maintenance reference.
- National Park Service Historic Surplus Property Program materials: qualifying governmental recipients, preservation/use obligations and potential long-term private/nonprofit operating leases subject to approval.
- IRS rehabilitation-credit guidance: federal rehabilitation credit based on qualified rehabilitation expenditures; investor/lease/partnership economics require tax counsel and final facts.
- CDFI Fund New Markets Tax Credit Program materials: CDE/QEI/QALICB structure and 39% investor credit over seven years; tract/project/CDE allocation eligibility remains TBD.
- U.S. Patent Nos. 11,720,888 and 12,518,273, “Decentralized title transfer and validation of assets”: source basis for the project's proposed TitleChain/M5 title-state methods; claim applicability and implementation remain subject to patent/transaction counsel.
- PPT-EZ-CA-0001 draft documents 01-10, September 17, 2026: master term sheet, conditional commitment, public-grantee MOU, lease term sheet, investor brief, escrow/draw, development, HTC, NMTC and TitleChain evidence schedule.
- Final securities-law exemption, issuer structure, investor eligibility and offering terms must be established by securities counsel before circulation as an offering document.

M5Canon v0.2 Updates

Additional Digital-Legal Risk Disclosures

- CER characterization risk: an electronic record may not have the legal effect assumed unless the statutory requirements and underlying rights support it.
- UCC perfection risk: a UCC-1 filing does not create collateral rights by itself and may be ineffective if the secured transaction, debtor, collateral description or filing jurisdiction is wrong.
- Namespace risk: ENS/domain names are locators/metadata and do not by themselves select governing law, form an entity or confer governmental authority.
- Oracle/automation risk: bad data, compromised credentials or code errors may create incorrect digital states; M5Canon therefore requires authority and human/fiduciary gates for material legal and financial actions.
- Regulatory proposal risk: SEC Release 34-106246 / File S7-2026-30 is a proposed rule as of this draft date, not a final transfer-agent compliance standard.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.